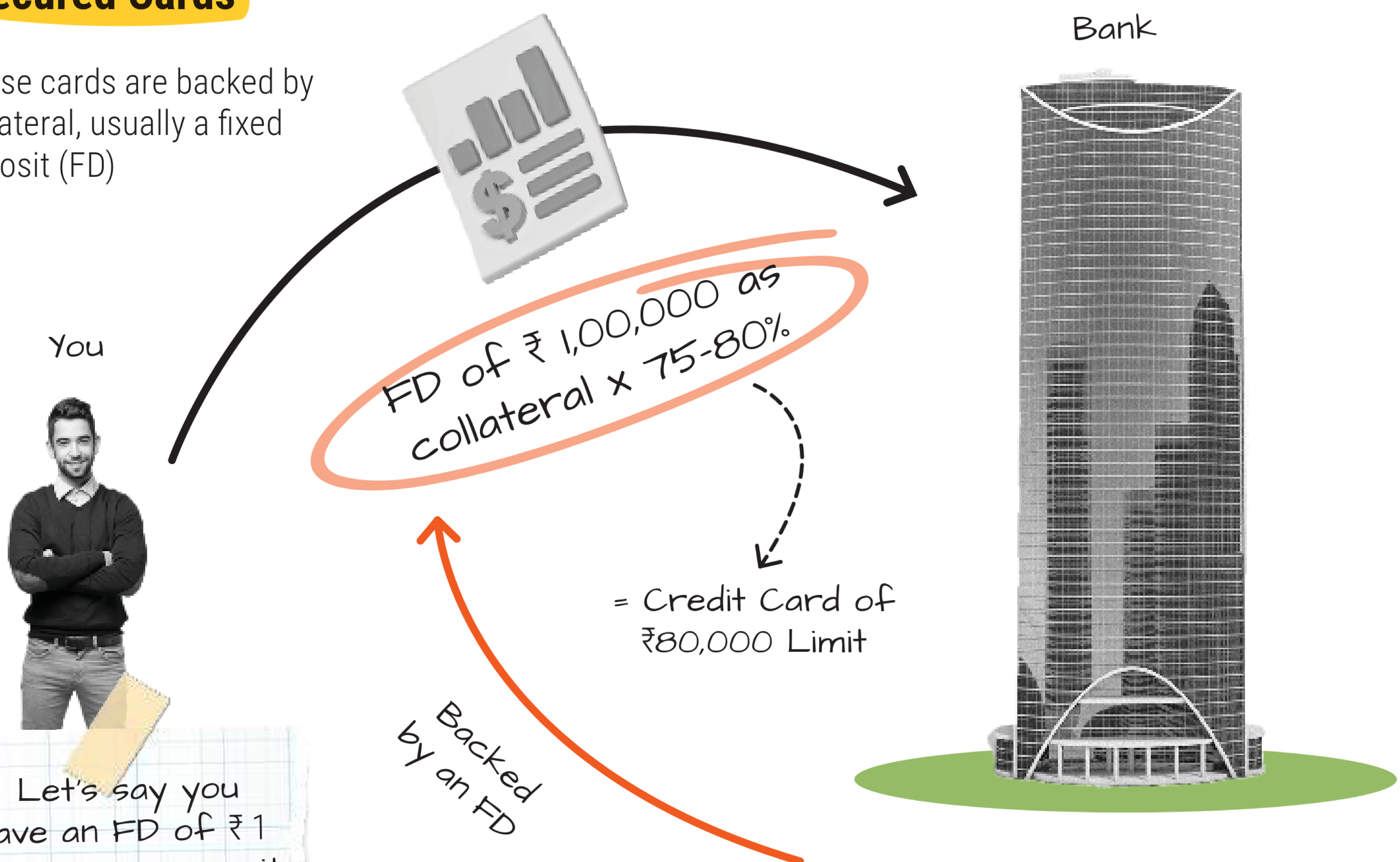
d. How do you select?

Choosing a credit card that's right for you involves considering a few factors:

1. Types of credit cards

Secured Cards

These cards are backed by collateral, usually a fixed deposit (FD)



Let's say you have an FD of ₹ 1 lakh; you can use it as collateral to get a credit card with a limit of around 75%-80% of your FD amount.

₹ 1,00,000 + Interest of 7% = ₹ 1,07,000

₹ 1,07,000 + Interest of 7% = ₹ 1,14,490

Your FD continues to earn interest, but if you ever default on your credit card bill, the outstanding amount can be recovered from your FD. **Secured cards are great for young individuals or those without a credit history, as they don't require a robust credit score.**